



Persistent Systems continues to report strong numbers with a beat on our estimates across the board (on the back of a strong Q2 performance) coupled with steady margins

- \$ revenue: \$199.12 Mn, +9.2% qoq / +36.2% yoy and 0.7% above our estimates | Services (86.7% of revenue) grew at 8.3% qoq / +44.3% yoy while IP led business (13.3% of revenue) grew at 15.9% qoq / -0.1% yoy
- INR revenue at 14,917 Mn, +10.4% qoq / +38.7% yoy and 0.7% above our estimates
- EBITDA: INR 2,510.8 Mn, +11.9% qoq / +37.6% yoy and +5% vs our estimates
- EBITDA margins: 16.8%, vs 16.6% / 17% in Q2FY22 / Q3FY21 respectively and 70 bps above our estimates
- EBIT: INR 2,083 Mn, +11.2% qoq / +52.7% yoy and 7% above our estimates
- EBIT margins: 14%, vs 13.9% / 12.7% in Q2FY22 / Q3FY21 respectively
- PAT: INR 1,764 Mn, +9.1% qoq / +45.9% yoy and 3.1% above our estimates
- EPS at INR 23.1 in Q3FY22 vs 21.2 / 15.8 in Q2FY22 / Q3FY21 respectively and versus our estimate of INR 22.4
- New Deal wins TCV were also encouraging at \$157.6 Mn vs \$149.3 Mn Q2FY22
- Total TCV now stands at \$334.3 Mn in Q3FY22 versus \$282.5 Mn in Q2FY22
- Declared a dividend of INR 20 per share

Result Highlights

- >\$5 Mn bucket increased from 22 to 24 qoq and >\$3 Mn bucket increased from 84 to 90
- **Top Client (17.5% of revenue)** grew by 13.1% qoq whereas **Top 2 - 5 clients (18.6% of revenue)** grew by 7.5% qoq and **Top 5 - 10 (8.9% of revenue)** grew by 1.2% qoq
- **BFSI (32.2% of revenue)** grew by 14.5% qoq / 48.7% yoy. **Healthcare & Lifesciences (20.7% of revenue)** grew by 6.6% qoq / 47.6% yoy. **Technology Companies (47.1% of revenue)** grew 6.9% qoq / 24.8% yoy

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY23E
Net sales	35,658	41,879	56,812	68,531	76,139
EBITDA	4,923	6,830	9,527	11,554	12,868
Adjusted net profit	3,403	4,507	6,880	8,296	9,240
Free cash flow	1,630	5,670	5,650	8,558	8,613
EPS (Rs)	44.5	59.0	90.0	108.6	120.9
growth (%)	1%	32%	53%	21%	11%
P/E (x)	96.6	73.0	47.8	39.6	35.6
P/B (x)	96.6	73.0	47.8	39.6	35.6
EV/EBITDA (x)	65.9	46.8	33.2	26.9	23.7
ROCE (%)	10.2	14.1	18.8	19.2	18.4
RoE (%)	14.4	17.4	22.7	23.4	22.3
Dividend yield (%)	0.3	0.3	0.5	0.6	0.7

Source: Company

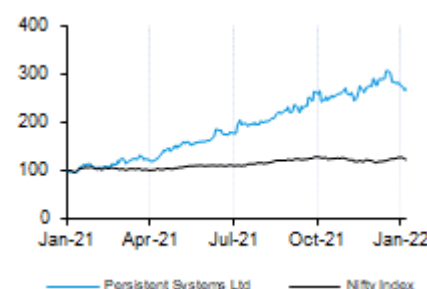
Rating	TP (Rs)	Up/Dn (%)
BUY	4,832	12

Market data

Current price	Rs	4,302
Market Cap (Rs.Bn)	(Rs Bn)	329
Market Cap (US\$ Mn)	(US\$ Mn)	4,412
Face Value	Rs	10
52 Weeks High/Low	Rs	4987 / 1,482
Average Daily Volume	('000)	416
BSE Code		533179
Bloomberg		PSYS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	31.26	31.26
Public	65.56	65.51
Othres	3.05	3.23
Total	100	100

Source: BSE

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Conference Call Key Takeaways

- ***Acquisition Consolidation:*** SCI acquisition closed in the 1st week of October and Shree Partners was consolidated for half quarter. Integration of all teams is progressing well and at advanced stages. Revenue contribution from SCI stood at \$3.7 Mn and SP at \$800K. SCI will be the foundation of dedicated Payments unit for Persistent Systems going ahead
- ***Organic growth in Q3FY22 stood at 6.7% qoq and 33.4% yoy***
- ***Headcount addition:*** Added 1,100 during the quarter with 258 coming from acquisitions. 1/4th of the organic net additions were freshers.
- ***Utilization*** increased during the quarter due to deployment of past additions
- ***Attrition:*** annualized level has started to moderate. Will stay on the higher side for couple of quarters and then recede
- ***Made many senior level executive additions:*** Kulesh Puri as SVP of IBM Alliance and Emerging Verticals, Ajay Kumar as SVP for Partner Ecosystem and Vijay Iyer as SVP of Digital Transformation. Company also welcomed Werner Boeing, former CIO of Roche Diagnostics to Persistent Advisor Network.
- Healthy demand in all verticals led by BFSI driven by organic and inorganic and followed by HiTech and Healthcare.
- ***Outlook on business continues to be healthy with steady momentum***
- Client mining working well as 5 Mn+ increased from 22 to 24 qoq and <\$5 Mn increased from 84 to 90
- ***Linear Services Performance:*** ***Offshore:*** Volumes growth of +7.4% and Billing Rate down by -1.3% | ***Onsite:*** Volume growth of +16% while Billing Rate down 3% due to softer revenue in EU and increase in nearshore activity in Malaysia and Canada where realizations are relatively lower
- Seasonally strong quarter for IP business due to higher royalty income in Accelerite Business Unit
- ***Margin Walk:*** Robust services and IP revenue performance, currency benefit of 50 bps and higher utilization aided margins and was offset by ESOP impact of 75 bps and retention costs.
- Amortization expense increased and full quarter impact of amortization was 40 bps but this should come off due to strong revenue performance and as older amortization related to some products might reduce after 1 year
- Pay-out towards acquisition was \$38 Mn and availed a loan of \$25 Mn for this
- ***Cash & Cash Equivalents stood INR 18,964 Mn***

- Subcon costs reduced during the quarter due to long term nature of contracts with clients and therefore higher predictability

Quarterly Performance Analysis

Exhibit 1

YE March (Rs. Mn)	Q3 FY22	Q2 FY22	Q-o-Q change %	Q3 FY21	Y-o-Y change %	Q3 FY22 estimates	Deviation %
Net Sales (US\$ Mn)	199.1	182.3	9.2%	146	36.2%	197.7	0.7%
Net Sales (INR Mn)	14,917	13,512	10.4%	10,754	38.7%	14,814	0.7%
Less:							
Employees Remuneration & Benefits	11,135	10,092	10.3%	7,741	43.8%	10,645	4.6%
SG&A Expenses	1,272	1,177	8.1%	1,188	7.0%	1,778	(28.5%)
Total Operating Expenditure	12,406	11,269	10.1%	8,929	38.9%	12,423	(0.1%)
EBITDA	2,511	2,244	11.9%	1,825	37.6%	2,391	5.0%
EBIT	2,083	1,873	11.2%	1,364	52.7%	1,947	7.0%
Less: Depreciation	428	371	15.4%	461	(7.2%)	444	(3.7%)
Less: Interest	26	21	21.8%	14	85.5%	15	
Add: Other income	307	324	(5.4%)	300	2.2%	370	(17.2%)
Profit Before Tax	2,364	2,176	8.6%	1,650	43.3%	2,302	2.7%
Adjusted Profits	2,364	2,176	8.6%	1,650	43.3%	2,302	
Less: Total Tax	600	559	7.4%	441	36.1%	591	
PAT	1,764	1,618	9.1%	1,209	45.9%	1,711	3.1%
Adjusted PAT	1,764	1,618	9.1%	1,209	45.9%	1,711	3.1%
Reported Diluted EPS (Rs.)	23.1	21.2	9.1%	15.8	45.9%	22.4	
Adjusted Diluted EPS (Rs.)	23.1	21.2	9.1%	16	45.9%	22.4	3.1%
No of Shared Diluted (mn)	76	76		76		76	
Margin Analysis %			Change in bps	Change in bps		Deviation in bps	
EBIT margin	14.0%	13.9%	10	12.7%	128	13.1%	82
EBITDA Margin	16.8%	16.6%	23	17.0%	(14)	16.1%	69
NPM	11.8%	12.0%	(15)	11.2%	58	11.5%	28
Adjusted NPM	11.8%	12.0%	(15)	11.2%	58	11.5%	28
Effective Tax Rate %	25.4%	25.7%	(29)	26.7%	(133)	25.7%	(29)
Cost Analysis %			Change in bps	Change in bps		Deviation in bps	
Employee Cost/Net Sales	74.6%	74.7%	(4)	72.0%	266	71.9%	279
SG&A/Net sales	8.5%	8.7%	(18)	11.1%	(252)	12.0%	(347)

Growth driven by strong services performance, inorganic growth and seasonally strong performance by IP led revenue.

Robust services and IP revenue performance, currency benefit of 50 bps and higher utilization aided margins and was offset by ESOP impact of 75 bps and retention costs

Source: Dalal & Broacha Research, Company

Valuation & Outlook

Persistent is currently trading at 49.6x / 35.6x FY23e / FY24e EPS. Persistent has been consistently delivering growth in the leader's quadrant coupled with steady margins. Deal win momentum and client mining also has been extremely strong.

Taking all the above factors into consideration, we retain a BUY rating on the stock as rollover to FY24 estimates and assign a PE multiple of 40x to arrive at target price of INR 4,836.

Financial

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	35,658	41,879	56,812	68,531	76,139
Growth %	5.9%	17.4%	35.7%	20.6%	11.1%
Total Revenue	35,658	41,879	56,812	68,531	76,139
Employee Cost & Related Expenses	25,475	30,722	42,152	49,077	53,423
Miscellaneous Expenses	5,260	4,327	5,132	7,900	9,849
Total Operating Expenditure	30,735	35,049	47,284	56,977	63,272
EBIDTA	4,923	6,830	9,527	11,554	12,868
Growth %	-10.6%	38.8%	39.5%	21.3%	11.4%
Less: Depreciation	1,660	1,756	1,631	2,056	2,284
EBIT	3,263	5,075	7,896	9,498	10,583
Growth %	-17.1%	55.5%	55.6%	20.3%	11.4%
Interest Paid	63	58	84	0	0
Non-operating Income	1,324	1,078	1,421	1,713	1,903
Profit Before tax	4,523	6,094	9,233	11,211	12,487
Tax	1,121	1,588	2,353	2,915	3,247
Net Profit	3,403	4,507	6,880	8,296	9,240
Adjusted Profit	3,403	4,507	6,880	8,296	9,240
Reported Diluted EPS Rs	44.5	59.0	90.0	108.6	120.9
Growth %	1.3%	32.4%	52.7%	20.6%	11.4%
Adjusted Diluted EPS Rs	44.5	59.0	90.0	108.6	120.9
Growth %	1.3%	32.4%	52.7%	20.6%	11.4%

Key Ratios					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
EBIDTA (%)	13.8%	16.3%	16.8%	16.9%	16.9%
NPM (%)	9.5%	10.8%	12.1%	12.1%	12.1%
RoE (%)	14.4%	17.4%	22.7%	23.4%	22.3%
RoCE (%)	10.2%	14.1%	18.8%	19.2%	18.4%
Tax Rate %	24.8%	26.1%	25.5%	26.0%	26.0%
Book Value Per share (Rs.)	312.2	365.8	426.8	500.4	582.4

Valuation Ratios					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
P/E (x)	96.6x	73.0x	47.8x	39.6x	35.6x
EV/EBITDA	65.9x	46.8x	33.2x	26.9x	23.7x
P/BV (x)	13.8x	11.8x	10.1x	8.6x	7.4x
Market Cap. / Sales (x)	9.2x	7.9x	5.8x	4.8x	4.3x

Key Ratios (Consolidated)					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Key Operating Ratios					
EBITDA Margin (%)	13.8%	16.3%	16.8%	16.9%	16.9%
Tax / PBT (%)	24.8%	26.1%	25.5%	26.0%	26.0%
Net Profit Margin (%)	9.5%	10.8%	12.1%	12.1%	12.1%
RoE (%)	14.4%	17.4%	22.7%	23.4%	22.3%
RoCE (%)	10.2%	14.1%	18.8%	19.2%	18.4%
Current Ratio (x)	3.1x	3.5x	3.1x	3.2x	3.5x
Dividend Payout (%)	30.1%	40.3%	32.2%	32.2%	32.2%
Book Value Per Share (Rs.)	312.2	365.8	426.8	500.4	582.4

Growth Indicators %					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Growth in Gross Block (%)	(0.3%)	7.0%	12.7%	11.3%	10.1%
Sales Growth (%)	5.9%	17.4%	35.7%	20.6%	11.1%
EBITDA Growth (%)	(10.6%)	38.8%	39.5%	21.3%	11.4%
Net Profit Growth (%)	(3.2%)	32.4%	52.7%	20.6%	11.4%
Diluted EPS Growth (%)	1.3%	32.4%	52.7%	20.6%	11.4%

Balance Sheet (Consolidated)					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	764	764	764	764	764
Reserves & Surplus	23,093	27,192	31,857	37,482	43,747
Equity	23,858	27,957	32,621	38,246	44,511
Net Worth	23,858	27,957	32,621	38,246	44,511
Total Loans	407	760	760	760	760
Capital Employed	24,448	28,958	33,739	39,449	45,764
Assets					
Gross Block	7,370	7,885	8,885	9,885	10,885
Less: Depreciation	5,145	5,483	7,115	9,171	11,455
Net Block	2,225	2,401	1,770	714	-570
Investments	5,311	4,089	4,355	4,586	4,771
Intangible Assets	1,661	1,315	1,784	2,153	2,392
Right of Use Assets	567	853	630	0	0
Current Assets					
Sundry Debtors	5,922	5,709	7,782	9,388	10,430
Current Investments	5,165	6,375	7,386	8,224	9,137
Cash and Bank Balance	4,572	9,809	13,208	19,151	24,910
Total Current Assets	20,032	26,838	34,654	43,650	52,128
Less: Current Liabilities & Provisions					
Sundry Creditors	2,247	2,733	3,757	4,527	5,027
Total Current Liabilities & Provisions	6,474	7,697	11,028	13,551	15,064
Capital Applied	24,448	28,958	33,739	39,449	45,764

Cash Flows (Consolidated)					
YE March (Rs. Mn)	FY20	FY21	FY22E	FY23E	FY24E
PAT	3,403	4,507	6,880	8,296	9,240
Add: Depreciation	1,660	1,756	1,631	2,056	2,284
Add: Interest Paid	63	58	84	0	0
Operating Profit before WC Changes	3,802	5,242	7,175	8,639	9,621
(Inc)/Dec in Current Assets	(1,250)	(359)	(3,406)	(2,215)	(1,807)
(Inc)/Dec in Current Liabilities	1,629	1,223	3,330	2,523	1,514
Net Cash Generated From Operations	4,181	6,107	7,099	8,947	9,328
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	20	(515)	(1,000)	(1,000)	(1,000)
Add: Non Operating Income Income	1,324	1,078	1,421	1,713	1,903
Cash Flow from Investing Activities	406	2,098	(728)	(210)	269
Cash Flow from Financing Activities					
Dividend Paid	(917)	(1,577)	(1,926)	(2,323)	(2,587)
Net Cash Flow from Financing Activities	(4,303)	(1,472)	(2,184)	(2,586)	(2,925)
Net Inc/Dec in cash equivalents	284	6,733	4,187	6,151	6,672
Opening Balance	6,724	4,572	9,809	13,208	19,151
Closing Cash Balance	7,008	11,305	13,996	19,360	25,823

Free Cash Flow Analysis					
	FY20	FY21E	FY22E	FY23E	FY23E
EBITDA	4,923	6,830	9,527	11,554	12,868
Add: Depreciation Tax Shield	411	457	416	535	594
Working Capital Changes	-2,604	485	-940	384	-602
Less: Inc in FC Investment	-20	515	1,000	1,000	1,000
Taxes Paid	1,121	1,588	2,353	2,915	3,247
Total Free Cash Flows	1,630	5,670	5,650	8,558	8,613

Source: Dalal & Broacha Research, Company

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